



NATIONAL INCOME ACCOUNTING

National income

National income is the total amount earned by every sector of the economy and from the foreign balance (also known as the balance of payments). National income accounting is a method that a national government uses to measure the level of a country's economic activity in a given time period.

Income equals expenditure

The idea of national income means that every penny spent in one part of the economy must equate to a penny earned elsewhere, and the total earnings of the economy must match the total spending of the economy. This idea allows economists to build models such as the MONIAC machine.

\$4.29
trillion

Japan's Gross National
Income (GNI) in 2015

